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To whom it may concern:

Re: Public Comment: Consumer Financial Protection Bureau (CFPB) Docket Number CFPB–2023–0038, Department of Health and Human Services (HHS) Docket Number CMS–2023–0106, and the Department of Treasury (Treasury) Docket Number TREAS–DO–2023–0008; Request for Comments

The Los Angeles County Department of Public Health (LA County Public Health) is deeply committed to protecting the health and financial well-being of approximately 10 million adults and children in our diverse jurisdiction. LA County Public Health holds the distinction of being the largest local health department in the United States signifying its extensive influence and responsibility in safeguarding public's well-being. Our County also faces the challenge of a 14.1% poverty rate, a figure that exceeds the national average of 11.6% according to the 2022 census. Nevertheless, LA County Public Health remains steadfast and diligent in its commitment to addressing this pressing issue, working tirelessly to implement comprehensive solutions and enhance the quality of life for all its residents. We welcome the opportunity to offer our insights on the joint documents published by the CFPB, HHS and Treasury.

It is crucial to implement provisions that prevent medical credit cards and loans from negatively impacting individuals' health and financial well-being. A primary objective of LA County Public Health is to have access to necessary data and resources to assist in eliminating predatory lending practices associated with medical credit cards and loans.

We offer the following recommendations, which will have a positive impact on improving consumers' access to healthcare. It is important to note that Local Health Departments (LHDs) are directly involved with many aspects of healthcare providers and facilities and if granted access to data have the capability to monitor all healthcare-related lending to patients.

We recommend the addition of the following provisions to CFPB:

- *Establishing a mechanism to ensure Local Health Departments (LHDs) are provided information on patient complaints related to medical credit cards and loans filed within their jurisdiction. This would allow the LHDs to offer patients access to appropriate resources and know their rights to help them navigate healthcare lending. LHDs could also monitor the volume and content of complaints by providers and lenders and work with them to improve their practices.*

- *Establishing a provision that grants LHDs the authority to submit a complaint on the behalf of any patient in their jurisdiction. This would protect patients from having the sole burden of awareness and reporting, which can be particularly challenging for vulnerable patients, including those that have language, physical, cognitive, and financial barriers, that make them more likely to be impacted by the violations. CFPB should designate LHDs as authorized patient representatives, which would reduce the reliance on consumer awareness and increase the capacity to actively monitor in concert with other local, state, and federal enforcement. A joint effort between LHDs and CFPB would also limit the occurrence of institutions or entities evading existing state provisions due to being headquartered out-of-state.*

We recommend the addition of the following provisions to HHS:

- *Establishing a provision that medical providers and lenders are not allowed to offer medical credit cards for services that are covered by Medicaid and Medicare. In June 2023, LA County Public Health published Medical Debt in Los Angeles County: Baseline Report and Action Plan, which found that 9.4% of adults with Medi-Cal (Medicaid) and 5.7% of adults with Medicare in Los Angeles County have burdensome medical debt.i The total medical debt burden estimated to be $2.6 billion for Angelenos. These figures were troubling given individuals with Medicaid and Medicare are either financially insecure or elderly members of the public. The medical debt for these insured patients cannot be explicitly attributed to medical credit cards and loans; nonetheless, these could be a contributing factor to medical debt.*

- *Establishing a provision that prohibits all hospitals from guiding patients to medical credit cards or loans, prior to patients' eligibility determination for any state or federal insurance and hospital's charity care or financial assistance programs. This will protect patients from being deemed ineligible for charity care or financial assistance and incurring undue debt when they qualify for health insurance or financial assistance.*

We recommend the addition of the following provisions to Treasury:

- *Establishing a provision that prohibits tax-exempt hospitals from applying or referring patients to medical credit cards or loans, prior to patients' eligibility determination for any state or federal insurance and hospital's charity care or financial assistance programs. This will protect patients from undue debt when they qualify for health insurance or financial assistance.*

- *Establishing a provision that mandates tax-exempt hospitals, who apply or refer patients to medical credit cards or loans, to follow requirements already in place for extraordinary collection actions, including the requirements of exclusions. This will protect patients from being guided towards medical credit cards and loans as a means of facilities avoiding rules established for extraordinary collections actions.*

These recommendations and partnerships between Local Health Departments and federal agencies will enhance consumer protections, promote positive health outcomes, and curb predatory lending practices. LA County Public Health is committed to protecting the health and well-being of members of our community in all aspects, inclusive of their financial stability. The Los Angeles County medical debt report data highlighted that LA County adults with medical debt had greater vulnerability to adverse effects to their social determinants of health. These individuals were nearly two and a half times more likely to experience food insecurity, nearly three and a half times more likely to experience unstable housing conditions, three times more likely to delay or forgo needed healthcare, and three and a half times more likely to abstain or delay taking prescribed medications. This data reaffirms our department's continuing dedication to achieve a future where medical credit cards and loans do not pose undue financial burdens to people in need of medical care.

The Los Angeles County Department of Public Health thanks you for the opportunity to comment and for your continued work addressing the issue of medical debt, predatory lending practices, and medical credit cards. We look forward to working with your agencies on these critical issue areas.

Respectfully submitted,

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Director

Reference:
Los Angeles County Department of Public Health, Center for Health Impact Evaluation. Medical Debt in LA County: Baseline Report and Action Plan. June 2023.
http://publichealth.lacounty.gov/chie/reports/Medical_Debt_Report_English.pdf